Question #1 of 18

Question ID: 1587542

The $250 million endowment of Stevenson University (SU) has a target 4% spending rate to support research at SU. The endowment is currently invested as follows: 30% domestic equities, 20% foreign equities, 20% domestic fixed income, and 30% foreign fixed income. Last month, the endowment received a $150 million donation from a philanthropist—the largest ever in its history. Which of the following approaches by SU endowment's portfolio managers would be *most appropriate*?

A) Invest the additional $150 million in riskier assets to increase the potential of higher portfolio returns.

B) Invest the additional $150 million using the same asset allocation and weights as the existing portfolio, in line with the portfolio's strategic asset allocation.

C) Evaluate opportunities of adding new asset classes and changing the asset class weights on the combined $400 million portfolio.

Question #2 of 18

Question ID: 1551742

If an investment is held in a tax-exempt account, then the investor bears:

A) all of the investment risk.

B) some of the investment risk.

C) none of the investment risk.

Question #3 of 18

Question ID: 1587541

The Howarth School Foundation (HSF) has historically provided 30% of the annual operating costs of running the Howarth law school. Recent changes in government funding mean that previously fully funded scholarships will now only be 40% funded, and that the HSF must provide more support to the school. Based on this information, the HSF will *most likely*:

A) increase the allocation to riskier timber and farmland to generate higher expected return and cover the required outflows.

B) decrease the allocation to private equity to increase the liquidity of the portfolio.

C) increase the allocation to zero-coupon bonds to increase duration.

Question #4 of 18

Question ID: 1587534

Global Auto Ltd. (GAL) maintains a fully funded $500 million pension fund for its defined benefit pension plan that is now closed to new employees. GAL's retirement age is 62, and the average age of the company's pension plan beneficiaries is 55. However, there is an upcoming change in pension legislation that will allow employees to retire earlier, at age 58. The pension fund is currently invested as follows:

- 20% domestic equities
- 20% foreign equities
- 30% domestic bonds with a duration of 15 years
- 30% alternative investments (equally invested in real estate, hedge funds, and private equity)

The *most appropriate* strategy by GAL's pension fund manager would be to reduce the allocation to:

A) alternative investments and increase the allocation to domestic equities.

B) domestic and foreign equities and increase the allocation to fixed income with a shorter duration.

C) alternative investments and equities and increase the allocation to fixed income with a shorter duration.

Question #5 of 18

Question ID: 1587540

Gil Tabor, CFA, and Jan Sills, CFA, are discussing how the choice of account type affects investment risk and the amount of that risk borne by the government via taxes. Tabor says that the government bears some of the investment risk in a tax-exempt account. Sills says the government bears some of the risk in a tax-deferred account before withdrawals occur. With respect to those assertions:

A) both Tabor and Sills are correct.

B) Tabor is correct and Sills is incorrect.

C) both Tabor and Sills are incorrect.

Question #6 of 18

Question ID: 1587537

The rebalancing ranges for a taxable portfolio, compared to a tax-exempt portfolio with similar risk characteristics, are typically:

A) narrower, because it takes smaller asset class movements to shift the risk profile of a taxable portfolio.

B) narrower, because after-tax volatility is lower than pretax volatility.

C) wider, because after-tax volatility is lower than pretax volatility.

Question #7 of 18

Question ID: 1587543

Peter and Cornelia Hargrave, both age 60, have a $2.5 million investment portfolio. The Hargraves want to retire in five years, and as a result, they use a strategic asset allocation of 55% equities, 40% bonds, and 5% cash. The portfolio is expected to provide income for 20 years after retirement, and it is invested among two equity portfolio managers and a fixed income manager. Last week, the Hargraves learned that one of the equity portfolio managers has taken on extremely risky derivatives positions generating substantial losses that wiped out $500,000 of the $2.5 million portfolio. Given the change in portfolio value, the Hargraves should reduce the exposure under the strategic asset allocation to which asset class?

A) Bonds.

B) Cash.

C) Equities.

Question #8 of 18

Question ID: 1587535

Julia Adamson is 77 years old, with a life expectancy of nine years. Adamson has told her portfolio manager that her portfolio needs to fund three buckets that each allow her to maintain her current standard of living: (1) from now until age 80, (2) age 80 to 90, and (3) age 90 to 100. Which of the three buckets should allow for the highest allocation to risky investments?

A) Bucket 3 (age 90 to 100).

B) Bucket 1 (until age 80).

C) Bucket 2 (age 80 to 90).

Question #9 of 18

Question ID: 1587533

A pension fund is searching for an optimal portfolio by comparing the present value of contributions and contribution risk as measured by a 95% confidence interval that contributions will not exceed a given threshold. Which of the following portfolios would be the *most efficient* under these criteria?

A) PV contributions: $69 million; contribution risk: $390 million.

B) PV contributions: $60 million; contribution risk: $385 million.

C) PV contributions: $65 million; contribution risk: $392 million.

Question #10 of 18

Question ID: 1587544

The strategic asset allocation, current allocation, and upper and lower policy limits for a retirement portfolio are shown in the following table.

Asset Class	Current Weight	SAA	Upper Limit	Lower Limit
Fixed income	35%	40%	45%	35%
Domestic equity	60%	50%	60%	40%
Real estate	5%	10%	15%	5%

The portfolio manager takes a discretionary approach to tactical asset allocation. She follows various indicators that she believes are useful in evaluating specific asset classes. Her current observations and interpretations are as follows:

- Equity brokers have reported that margin borrowing levels increased dramatically over the last two months and now sit at their highest levels for 15 months—a bearish sign.
- Real estate indices have started to rise, suggesting the market may be "heating up"—a bullish sign.
- Indications from the Federal Reserve are that interest rates will rise several times in the next 12 months—a clearly obvious sign.

Which of the following tactical allocation shifts is the manager *most likely* to make?

A) Increase the weighting to real estate.

B) Increase the weighting to domestic equity.

C) Decrease the weighting to fixed income.

Question #11 of 18

Question ID: 1587547

The investment committee of a large-cap fund consists of 12 members. During committee meetings, one of the senior members is frequently the first one to speak and speaks with strong confidence, which tends to bias the other committee members' views. Which behavioral bias is *most likely* to occur within the committee?

A) Recency bias.

B) Framing bias.

C) Illusion of control bias.

Question #12 of 18

Question ID: 1587539

If an investment is held in an account that is taxed annually, the government bears:

A) none of the investment risk.

B) some of the investment risk.

C) all of the investment risk.

Question #13 of 18

Question ID: 1551744

On a graph where the risk is on the horizontal axis and the returns are on the vertical axis, the existence of taxes on investment returns would probably shift the mean-variance optimization portfolio:

A) down and to the right.

B) down only, and there would not be a shift left or right.

C) down and to the left.

Question #14 of 18

Question ID: 1587546

Goals-based investing is most directly useful to counter:

A) the illusion of control.

B) loss aversion.

C) representativeness.

Question #15 of 18

Question ID: 1587545

Kevin Collison has several different places with assets in which he manages as separate accounts: his checking account, which he uses for short-term cash and emergency needs, his 401(k) account for retirement, and his children's college fund. In his 401(k), he owns a small-cap stock in a company that makes catheters to be used in experimental cancer treatments, in which the catheter is used to deliver cancer-killing drugs too hard to reach tumors in the body. The stock has recently taken a downturn in price due to the FDA not approving their most recent catheter. As a result of the downturn, Collison purchases more of the stock in hopes of recouping his losses at some future time. Collison's management of his portfolio is indicative of:

A) mental accounting and loss aversion.

B) money illusion and fear of regret.

C) asset allocation and pyramiding.

Question #16 of 18

Question ID: 1606709

Dan Vustings, 51, is a senior account executive at an advertising agency in San Francisco. He currently has sufficient capital in his two investment portfolios to retire in 14 years. His capital is evenly split between a taxable portfolio, which he uses to fund current consumption goals and a tax-deferred retirement account. Vustings received advice from an investment manager last year who suggested the following asset allocation:

- High-yield bonds: 15%
- High-dividend-yield equities: 50%
- High growth equities: 35%

Vustings has the same allocation in both the taxable and the retirement account. Which of the following allocations would *most likely* improve the tax efficiency of the portfolios, ignoring rebalancing or withdrawal penalties?

A) Increase the allocation to high-yield bonds in the taxable account, and increase the allocation to high growth equities in the retirement account.

B) Increase the allocation to high-yield bonds in the retirement account, and increase the allocation to high growth equity investments in the taxable account.

C) Increase the allocation to high-dividend yield equities in the taxable account, and increase the allocation to high growth equities in the retirement account.

Question #17 of 18

Question ID: 1587538

Ruby Pascal is an institutional money manager managing a $200 million portfolio. The cost basis of each of five selected assets from the portfolio is above market value, and Pascal decides to sell those assets. The *least likely* reason for the sale is:

A) to realize capital gains to generate profits for the portfolio.

B) to realize capital losses against current or future realized capital gains.

C) to engage in tax loss harvesting.

Question #18 of 18

Question ID: 1551748

In assessing the effectiveness of the risk-adjusted tactical asset allocation (TAA) portfolio against the strategic asset allocation (SAA) portfolio, an investment manager should compare the risk-adjusted TAA portfolio's risk and return with the:

A) risk and return of the portfolios along the SAA portfolio’s efficient frontier.

B) Sharpe ratio of the SAA portfolio.

C) information ratio of the SAA portfolio.